

more than 10% after the breakout. It also means 53% will reach the target. Whether you decide to trade the potential drop is up to you.

Wait for breakout. Most of the time, you will want to wait for price to confirm the pattern by closing below the confirmation price. If you do not wait, there is a 60% chance (I researched this) that price will climb instead of confirming.

However, there are exceptions to the wait for breakout rule. For example, if you see an especially dire situation developing in a stock you own, then protect your profits and sell early. If the market or industry is dropping and there was a quick rise leading to the pattern, then consider selling early (a quick decline sometimes follows a quick rise, but it's rarer than you might expect). Other technical indicators may suggest a sale, so check those, too.

Trade with market trend. Avoid shorting a stock in a raging bull market unless the situation warrants. In bull markets, it may make sense to hold onto a stock and weather the downturn. Look for underlying support that would stop a decline. Usually, when the bull market is pushing price skyward, it is a mistake to sell when seeing a double top. Chances are that in a few weeks or months the stock's price will be higher. Swing traders and short-term traders, however, will want to sell as soon as the pattern confirms (to lock in a long-side profit), then look elsewhere for another trading opportunity.

Check others in the industry. Look at how the general market and other stocks in the same industry are behaving. That activity is often key to how your stock will perform. If other stocks in the industry are falling or showing signs of topping out, chances are your stock will decline, too. If so, it is best to sell a long holding or consider shorting the stock.

Stop location. [Table 32.7](#) shows guidance for stop placement, so look at the numbers and read the brief description. Be sure to change the potential loss into a percentage and check [Table 32.3](#) to see how often price declines that far after a double top breakout.

Busted trade. If you want the potential to make big bucks, trade a busted Eve & Adam double top. Busted double tops beat Eve & Adam double bottoms in performance. See [Table 32.9](#) for highlights.

This just in: [Table 32.11](#) shows special features of the double top!